discuss in Chapter 14, when the theoretical *virtuous circle* of taking out external loans to promote development and well-being, which would result in self-perpetuating growth, turned into a *vicious circle* of permanent debt for the Third World countries with enormous capital flow to the creditors.

Dependence and Neo-Colonialism: The collapse of colonial empire had put an end to the colonial domination of the European powers after the Second World War. This, however, did ensure political independence but not economic independence. The underdevelopment of the former colonial countries made them dependent again on their former colonial masters for finance, aid, technology transfer, and research and development. The former colonial masters, therefore, devised means of utilizing this dependence to serve their own purposes. The colonies being important source of raw materials and markets for their products, the colonial powers sought newer methods to establish their domination over them. The new form of colonial domination is referred to as *neo-colonialism*. This concept, at present, covers the relationship of the Third World with the United States, which was not a formal colonizer, and the North–South relations.

A United Force: Resistance to Inequitable International Order: The common problems of the Third World countries inspired them to form a united front to fight for a just and equitable international political and economic order. They had changed the architecture of international relations since the 1960s. They had bargained collectively since the 1970s for a New International Economic Order in the United Nations. Along with NIEO, they have also demanded a New International Information and Communication Order (NIICO). They had also evolved the Non-Aligned Movement (NAM) to not only safeguard their political independence but also to insulate themselves from the superpower rivalry since the Cold War days. The NAM also gave them a platform where they could fight for the NIEO and crusade against neo-colonialism and initiate a North–South dialogue. They have also forged a common front with the creation of Group of 77. The Third World played a commendable role in mobilizing world opinion and exploring the possibilities of an alternative to the existing international order.